Appraisal Report (Excerpt)

Ashby Mill, 410 Bridge Street, Danville, VA | Effective date June 30, 2023 | Southside Valuation Group

1. Purpose: to estimate the as-is market value of the fee simple interest and the prospective value upon completion of the proposed rehabilitation.

2. Intended user: Piedmont Community Bank, for underwriting of the construction loan.

3. Ownership: Ashby Mill Owner LLC, fee simple owner. The property was acquired in 2022 and has not been offered for sale since.

4. This excerpt contains the property description and the value conclusions only.

Property description

1. Proposed improvements: 86 units of rental housing in a converted five-story mill, with commercial space on the ground floor.
2. Building size: 112,400 SF gross building area, measured by the appraiser from the architect's drawings and field measurement.
3. Site area: 2.1 acres, including a surface lot for resident parking.
4. Zoning: Central Business District, which permits the proposed use by right.

Highest and best use

1. As vacant, the highest and best use of the site is mixed-use development consistent with the River District plan.
2. As improved, the highest and best use is conversion of the mill to residential use with ground-floor commercial space.

Value of the building



2. The land value is estimated from sales of comparable downtown sites.
3. The as-is value is used by the lender as the starting point for the loan-to-value calculation.

Value conclusions

1. The prospective value upon completion and stabilization is set out in the full report.
2. Values assume completion in accordance with the plans and specifications provided.

Certification

1. I certify that, to the best of my knowledge and belief, the statements of fact in this report are true and correct.

Certified General Real Property Appraiser, Commonwealth of Virginia